

**FINANCIAL STATEMENT
OF
ZEPTECH TECHNOLOGIES
FOR THE YEAR ENDED May 30 2021**

SYED & CO.

CHARTERED ACCOUNTANTS

Office # 1, (Ground floor) 13th street, B-264, Block-N, North Nazimabad
Karachi- Tel: 0312-2200900, 0331-2337428, Phone # 021-36672104

INDEPENDENT AUDITORS' REPORT

TO THE MEMBER OF SMH GLOBAL SERVICES (PVT) LIMITED

Report on the Audit of the Financial Statements

Opinion

I have audited the annexed financial statements of **SMH GLOBAL SERVICES (PVT) LIMITED**, which comprise the statement of financial position as at **June 30, 2023**, and the statement of profit or loss, statement of cash flow and statement of changes in equity for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information, and we state that we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of the audit.

In our opinion and to the best of our information and according to the explanations given to us, the statement of financial position, statement of profit or loss, Statement of cash flow and the statement of changes in equity together with the notes forming part thereof conform with the accounting and reporting standards as applicable in Pakistan and give the information required by the Companies Act, 2017 (XIX of 2017), in the manner so required and respectively give a true and fair view of the state of the Company's affairs as at **June 30, 2023** and of the profit, statement of cash flows and changes in equity for the year then ended.

Basis for Opinion

I conducted our audit in accordance with International Standards on Auditing (ISAs) as applicable in Pakistan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants as adopted by the Institute of Chartered Accountants of Pakistan (the Code) and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Board of Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the accounting and reporting standards as applicable in Pakistan and the requirements of Companies Act, 2017 (XIX of 2017) and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

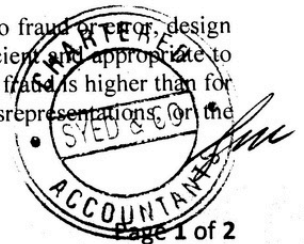
Board of directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs as applicable in Pakistan will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs as applicable in Pakistan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



Page 1 of 2

Address:
Office # 1, (Ground floor)
13th Street, B-264, Block-N,
North Nazimabad, Karachi.

Email: syedandco.ca@gmail.com
syedandco90@gmail.com
Cell: +92-331-2337428
+92-312-2200900
Phone: +92 21 36672104



Chartered Accountants

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

Based on our audit, we further report that in our opinion:

- a) proper books of account have been kept by the Company as required by the Companies Act, 2017 (XIX of 2017);
- b) the statement of financial position, statement of profit or loss, statement of changes in equity and statement of cash flows together with the notes thereon have been drawn up in conformity with the Companies Act, 2017 (XIX of 2017) and are in agreement with the books of account and returns;
- c) investments made, expenditure incurred and guarantees extended during the year were for the purpose of the Company's business; and
- d) no zakat deductible at source under the Zakat and Ushr Ordinance, 1980 (XVIII of 1980).

The sole proprietor on the audit resulting in this independent auditor's report is Syed Noman Shamim.



Place: Karachi

Date: 04 OCT 2023

UDIN Number: AR202310395m8saY3o5S



SMH GLOBAL SERVICES (PVT) LIMITED
STATEMENT OF FINANCIAL POSITION
AS ON JUNE 30, 2023

	Note	2023 Rupees	2022 Rupees
<u>NON-CURRENT ASSETS</u>			
Property, plant & equipments	4	630,040	-
<u>CURRENT ASSETS</u>			
Advances and deposits	5	17,892,532	700,000
Advance Income Tax	6	22,782	
Cash & Bank Balance	7	31,928,304	429,222
		49,843,618	1,129,222
		50,473,658	1,129,222
<u>CAPITAL & LIABILITIES</u>			
<u>SHARE CAPITAL AND RESERVES</u>			
Authorized capital	8	500,000	500,000
Issued, subscribed & paid-up capital	9	400,000	400,000
Accumulated profit / (Loss)		46,414,897	(50,778)
		46,814,897	349,222
<u>CURRENT LIABILITIES</u>			
Accrued Expenses	10	3,658,761	-
Short term loan- unsecured		-	780,000
		3,658,761	780,000
Contingencies and commitments	11	-	-
		50,473,658	1,129,222

The annexed notes from 1 to 15 form an integral part of these financial statements.



CHIEF EXECUTIVE




DIRECTOR

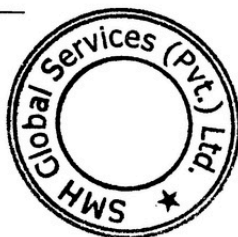
SMH GLOBAL SERVICES (PVT) LIMITED
STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED JUNE 30, 2023

	Note	2023 Rupees	2022 Rupees
Export of IT Services		111,566,071	-
Administrative expenses	12	10,657,323	49,365
Net Profit			<u>(49,365)</u>
Finance cost		41,888,121	(1,413)
Profit before taxation		21,223	<u>(50,778)</u>
Current Year		21,878,999	-
Net profit / (loss) after taxation		311,222	<u>(50,778)</u>
Earning/ (Loss) per share	13	117,443,615	<u>(12.69)</u>
		10,333	

The annexed notes from 1 to 15 form an integral part of these financial statements.



CHIEF EXECUTIVE




DIRECTOR

SMH GLOBAL SERVICES (PVT) LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED JUNE 30, 2023

	Issued, Subscribed & paid up capital	Unappropriated profit	Total
	<u>Rupees</u>	<u>Rupees</u>	<u>Rupees</u>
Balance as on July 01, 2021	400,000		400,000
Net Profit for the year	-	(50,778)	(50,778)
Balance as on June 30, 2022	<u>400,000</u>	<u>(50,778)</u>	<u>349,222</u>
Balance as on July 01, 2022	400,000	(50,778)	349,222
Net Profit for the year	-	46,465,675	46,465,675
Balance as on June 30, 2023	<u>400,000</u>	<u>46,414,897</u>	<u>46,814,897</u>

The annexed notes from 1 to 13 form an integral part of these financial statements.



CHIEF EXECUTIVE




DIRECTOR

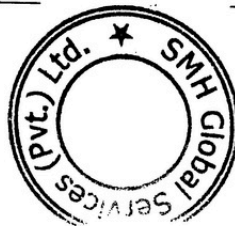
SMH GLOBAL SERVICES (PVT) LIMITED
STATEMENT CASH FLOW
FOR THE YEAR ENDED JUNE 30, 2023

	2023 Rupees	2022 Rupees
Cash Flows From Operating Activities		
Net Profit before taxation	46,806,990	(50,778)
Adjustment for		
Depreciation	126,360	-
Operating profit before working capital changes	46,933,350	(50,778)
Changes in working capital		
(Increase)/decrease in current assets		
Advances and deposits	(17,192,532)	(700,000)
Increase/(decrease) in curren liabilities		
Accrued Expenses	3,658,761	-
Short term loan- unsecured	(780,000)	780,000
Net Working Capital Changing	(14,313,771)	80,000
Income Tax paid	(364,097)	
Net Cash from operating activities	32,255,482	29,222
Financial charges paid		
Income tax paid	-	-
Net cash inflow from operating activities	-	-
Cash flows from investing activities		
Fixed capital expenditure	(756,400)	-
Net cash (outflow) from investing activities	(756,400)	
Net increases/(decreases) in cash and cash equivalents	31,499,082	29,222
Cash and cash equivalents beginning of the year	429,222	400,000
Cash and cash equivalents end of the year	31,928,304	429,222

The annexed notes from 1 to 15 form an integral part of these financial statements.

CHIEF EXECUTIVE

DIRECTOR



SMH GLOBAL SERVICES (PRIVATE) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

1 STATUS AND NATURE OF BUSINESS

The company was incorporated in Pakistan as a (Private) Limited Company on Feb 19, 2013 under the repealed Companies Ordinance, 1984 (Repealed with the enactment of the Companies Act, 2017 on May 30, 2017). The address of registered office is Mezzaine No. 51-C, Jami commerical Street -11, Phase-7, D.H.A, Karachi. The company is engaged in the business of software development.

2 STATEMENT OF COMPLIANCE

These financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. The accounting and reporting standards applicable in Pakistan comprise of:

-The Revised Account and Financial Reporting Standard for Small Sized Entities (Revised AFRS for SSEs) issued by the Institute of Chartered Accountants of Pakistan (ICAP) as notified in the Companies Act 2017; and

Provisions of and directives issued under the Companies Act, 2017.

Where the provision of and directive issued under Companies Act, 2017 differ from the revised AFRS for SSE's the provision and directive issued the under Companies Act, 2017 have been followed.

3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 BASIS OF PREPARATION

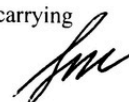
These financial statements have been prepared under the historical cost convention.

3.2 SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of financial statements in conformity with the Accounting and Financial Reporting Standards for Small Sized Entities issued by the Institute of Chartered Accountants of Pakistan requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised.

Significant areas requiring the use of management estimates in these financial statements relate to the useful life of depreciable assets, provision for doubtful receivables and slow moving inventory. However, assumptions and judgments made by management in the application of accounting policies that have significant effect on the financial statements are not expected to result in material adjustment to the carrying amounts of assets and liabilities in the next year.



SMH GLOBAL SERVICES (PRIVATE) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

3.3 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation.

Depreciation is charged to income on reducing balance method. Depreciation on additions to property, plant and equipment is charged from the month in which an item is put to use while no depreciation is charged for the month in which the item is derecognized /disposed off.

Maintenance and repairs are charged to profit and loss account as and when incurred. Major renewals and improvements are capitalized and the assets so replaced, if any, are written off. Gains and losses on disposal of assets, if any, are included in profit and loss account currently.

3.4 Stock in Trade

These are valued at the lower of cost, determined on first-in-first out method and net realizable value. Net realizable value signifies the estimated selling price in the ordinary course of business less cost necessarily to be incurred to make the sale. Goods-in-Transit are valued at cost accumulated to the balance sheet date.

3.5 Taxation

Income tax expense represents current tax expense. Provision for current taxation is based on taxable income at the current rates of taxation after taking into account tax credits and tax rebates, if any.

Deferred tax is accounted for using the liability method in respect of all taxable temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilized.

Deferred tax is calculated at the rates that are expected to apply to the period when the differences reverse, based on tax rates that have been enacted.

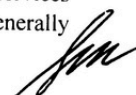
3.6 Revenue Recognition

Revenue is recognized when performance obligations are satisfied by transferring control of a good or service to a customer, either at a point in time or over time of an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Revenue is recognised in accordance with the aforementioned principle by applying the following steps:

- (i) Identify the contract with a customer
- (ii) Identify the performance obligation in the contract
- (iii) Determine the transaction price of the contract.
- (iv) Allocate the transaction price to each of the separate performance obligations in the contract.
- (v) Recognise the revenue when (or as) the entity satisfies a performance obligation.

Revenue is recognised either at a point in time or over time, when (or as) the Company satisfies performance obligations by transferring the promised goods or services to its customers. Any bundled goods or services that are distinct are separately recognized, and any discounts or rebates on the contract price are generally allocated to the separate elements.



SMH GLOBAL SERVICES (PRIVATE) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

3.7 Trade and other receivables

Trade debts are carried at original invoice amount less provision for impairment. Known bad debts are written off, while provisions are made against debts considered doubtful based on review of outstanding amount at the end of the year.

3.8 Cash and Cash Equivalents

Cash and cash equivalents are carried in the balance sheet at cost. For the purpose of cash flow statement, cash and cash equivalents include cash in hand and with banks.

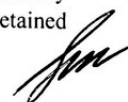
3.9 Trade and other payable

Liabilities for trade and other payables are carried at cost which is the fair value of the consideration to be paid in the future for goods and services received.

3.10 Provisions

Provisions are recognized when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of obligation.

- 3.11** IFRS 9 replaces the provisions of IAS 39 that relate to the recognition, classification and measurement of financial assets and financial liabilities, derecognition of financial instruments, impairment of financial assets and hedge accounting. The adoption of IFRS 9 Financial Instruments from July 1, 2018 resulted in changes in accounting policies and adjustments to the amounts recognised in the financial statements. In accordance with the transitional provisions in IFRS 9, corresponding figures have not been restated and any adjustment to carrying amount of financial assets and liabilities were recognised in the opening retained earnings as of the transition date.



TEXPO PAKISTAN (PRIVATE) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

4 PROPERTY, PLANT AND EQUIPMENTS

PARTICULARS	COST AS AT JULY 1, 2022	ADDITION/ DELETION	COST AS AT JUNE 30, 2023	ACCUMULATED DEPRECIATION AS AT JULY 1, 2022	DEPRECIATION	ACCUMULATED DEPRECIATION AS AT JUNE 30, 2023	WRITTEN DOWN VALUE AS ON JUNE 30, 2023	RATE
Furniture & Fixtures	-	50,000	50,000	-	7,500	7,500	42,500	15%
Electronics Equipment	-	620,400	620,400	-	93,060	93,060	527,340	15%
Laptop	-	86,000	86,000	-	25,800	25,800	60,200	30%
TOTAL - 2023	-	756,400	756,400	-	126,360	126,360	630,040	

SMH GLOBAL SERVICES (PVT) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

	NOTE	2023 Rupees	2022 Rupees
5 ADVANCES AND SECURITY DEPOSIT			
Advances		-	700,000
Advance to 3EM		9,887,532	-
Advances to Staff		355,000	-
Advance to Ham International		7,500,000	-
Security Deposit - Rent		150,000	-
		<u>17,892,532</u>	<u>700,000</u>
6 ADVANCE INCOME TAX			
Beginning of the year		-	
W.H IT u/s 154(A)		364,097	
Provision of Taxation		364,097	
		<u>(341,315)</u>	
		<u>22,782</u>	
7 CASH & BANK BALANCE			
Cash in hand		19,868,686	350,634
Cash at bank		12,059,618	78,588
		<u>31,928,304</u>	<u>429,222</u>
8 AUTHORIZED CAPITAL			
5,000 ordinary shares of Rs. 100/- each		500,000	500,000
9 ISSUED, SUBSCRIBED & PAID UP CAPITAL			
4,000 ordinary shares of Rs. 100/- each			
Fully paid in cash		400,000	400,000
10 ACCRUED EXPENSES			
Accrued Payable		3,148,403	-
W.H Income Tax payable		357,541	-
Other Payable		152,817	-
		<u>3,658,761</u>	<u>-</u>
11 CONTINGENCIES AND COMITTMENTS			

There were no commitment and commitments as at June 30, 2023(2022:Nil)



SMH GLOBAL SERVICES (PVT) LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2023

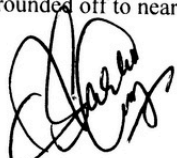
	NOTE	2023 Rupees	2022 Rupees
12 ADMINISTRATIVE EXPENSES			
Preliminary expenses		-	26,605
Fees & Subscription		5,987,920	22,760
Salary		657,000	-
Bonus and Benefits to Employee		97,500	-
Consultancy Service Charges		61,829,984	-
Hr Services		9,750,000	-
Office Rent		300,000	-
Traveling Expenses		7,494,503	-
Office Expenses		42,940	-
Medical Expense		150,000	-
Printing , Designing and Stationery		77,280	-
Utility Expenses		61,155	-
Internet / Telephone		72,054	-
Mobile Expense		75,134	-
Legal and Professional charges		500,000	-
Audit fee		25,000	-
Entertainment Expenses		207,215	-
Fuel Expenses		354,249	-
Conveyance / Reimbursement of Conveyance		31,845	-
Office Maintenance Expenses		197,345	-
Miscellaneous Expenses		135,491	-
Accommodation Expense		546,925	-
Vehicle Maintenance		175,485	-
Server Charges / Rent		297,938	-
Consultancy Expense		500,000	-
Depreciation		126,360	-
Total Expenses		<u>89,693,323</u>	<u>49,365</u>
13 EARNING / (LOSS) PER SHARE			
Net (loss) after taxation		<u>46,465,675</u>	<u>(50,778)</u>
Number of ordinary shares		<u>4,000</u>	<u>4,000</u>
Profit / (loss) per share (in rupees)		<u>11,616.42</u>	<u>(12.69)</u>

14 DATE OF AUTHORIZATION

These financial statements have been authorized for issue on 04 OCT 2023 by the Board of Directors of the Company.

15 GENERAL

Figures have been rounded off to nearest rupee.


 CHIEF EXECUTIVE




 DIRECTOR